

DIGINETICS | MARCH 2026 | CONFIDENTIAL

The Age of Guessing With Confidence Is Over.

Diginetics is the first technology company built on **Deterministic Causal Intelligence** — a fundamentally new approach to AI that measures cause and effect using calculus, not statistics.

One engine. Any domain. Deployed in days, not months. Every output is a verifiable mathematical equation.

\$0

Cost to run & get results

9

Domains validated, one
codebase

2,300+

Causal equations discovered

3.2M+

Observations processed

Michael Lazzarotti — CEO & Co-Founder

Evan O'Connell — CFO, COO & Co-Founder

THE PROBLEM

AI Doesn't Know Why — And It's Costing Billions

Every major AI system operates on statistical pattern matching. Predictions without understanding are guesses with confidence scores.

95%

of enterprise AI pilots deliver **zero ROI**

MIT/Forbes, August 2025

42%

of companies now **abandoning AI** — up from 17% prior year

LinkedIn Enterprise AI, 2025

\$30-40B

invested in enterprise AI with **near-zero return**

MIT analysis, 300 deployments

No Explainability

AI outputs with no audit trail. Every output requires forensic human review — the "verification tax" eliminates efficiency gains.

Built on Assumptions That Fail

Even "Causal AI" relies on statistical inference with assumptions ICML 2025 proved are "likely violated across any reasonable dataset."

Expensive to Maintain

Billions of parameters. GPU clusters. Months of training. When conditions shift, models degrade silently. Retraining costs millions.

The problem is not scale. It is architecture. No amount of data fixes a system that cannot measure causation.

THE DEEPER PROBLEM

"Causal AI" Still Guesses — Just With Better Branding

Today's "causal AI" platforms still rely on statistical inference with unverifiable assumptions.

The ICML 2025 Verdict

"Progress within the current paradigm is fundamentally constrained, necessitating a paradigm shift."

Olko et al., "Since Faithfulness Fails: The Performance Limits of Neural Causal Discovery," ICML 2025

	Statistical AI	Current "Causal AI"	DCI (Diginetics)
Foundation	Probability theory	Bayesian statistics	Calculus
Relationships	Correlated from patterns	Inferred from data	Measured directly
Assumptions	Many	Faithfulness, Markov, Sufficiency	None — assumption-free
Output	Probability distributions	Probability distributions	Deterministic equations
Explainability	Post-hoc (SHAP, LIME)	Post-hoc approximations	Intrinsic — the math IS the explanation
Can Hallucinate?	Yes	Yes	No

The paradigm shift ICML called for already exists. We built it.

THE SOLUTION

Deterministic Causal Intelligence: Measurement, Not Inference

Where statistical AI *infers* relationships from data patterns, DCI **measures** them using calculus — the mathematics of change itself.

Every Existing AI Product

- Finds patterns in data (correlations)
- Tells you **what** might happen
- Cannot tell you **why**
- Cannot tell you **what to change** to alter outcomes
- Outputs require human verification
- Black-box: cannot be audited
- Billions of parameters, GPU clusters required

DCI (Diginetics)

- **Measures** causal relationships using calculus
- Tells you **why** it happened
- Tells you **what caused it**
- Tells you **what to change** and by how much
- Every output is mathematically verifiable
- Fully transparent: human-readable equations
- Runs on a laptop. Zero GPU required.

One codebase. Any domain. Deployed in days, not months. New vertical = new configuration file, not new engineering.

PROOF

Validated Across 9 Domains. One Codebase. Zero Code Changes.

Every result produced by the same unmodified engine. No domain-specific models. No industry-specific algorithms.

Domain	Observations	Metrics	Equations Discovered	Feedback Loops
MLB Baseball (60 players)	~185,430	72/player	339 avg/player	790 (Judge alone)
Healthcare	376	126	603	991
Real Estate (Buyer)	760	23	103	122
CRE (31 MSAs)	4,867	84	408	35,974
Retail (NRS)	180	98	486	93
Transportation	17,990	14	140	413
Oil & Gas (Volve)	8,245	16	52	60
Water Utility (GWSC)	1,800	16	76	88
Human Communication	3,000,000+	212	271	59 independently rediscovered

2,300+

Equations discovered

38,000+

Feedback loops mapped

3.2M+

Observations processed

9

Independent domains

THE BREAKTHROUGH

Every Result Was a Single Pass. No Tuning. No Iteration.

Every domain was processed in a single execution — no iterative tuning, no domain-specific engineering, no human feedback between configuration and output.

MLB Baseball — Matched 20-Year Incumbents Blind

Head-to-head with **ZiPS**, **Steamer**, **THE BAT X**, and **Marcells** on HR/PA RMSE — the industry's flagship accuracy metric.

0.0201

DCI — single blind run

0.0200

ZiPS/Steamer — 20+ years of tuning

DCI also produced equation portfolios, sensitivity analyses, and 790 feedback loops for Aaron Judge alone. **No projection system in baseball generates any of this.**

What This Means for Enterprise

- **Sports teams** get causal driver analysis, not just projections — know *which* metric to train, *how much* it moves outcomes
- **Sensitivity maps** show exactly which variables drive performance and by how much — no guessing at interventions
- **Regime-shift detection** catches when a player's mechanics fundamentally change — before the stats reflect it
- An MLB team paying \$250M+ in payroll making decisions on **causal equations vs. gut feel** is a competitive weapon worth millions per season

A system that competes with 20-year incumbents on its first blind run, producing outputs they can't generate at all, and hasn't started optimizing yet. A second pass = one config file change.

WHAT DCI DISCOVERS — AND WHAT IT'S WORTH

Real Discoveries From Real Data. Real Enterprise Value.

These are not hypothetical capabilities. These are findings DCI produced from actual datasets on its first pass.

Oil & Gas — Rediscovered Petroleum Physics

From raw Volve oil field sensor data, DCI independently recovered the **Gas-Oil Ratio (GOR)** — a known petroleum physics equation — without being told petroleum physics exists. It discovered domain science from data alone.

Enterprise value: If DCI saves Oxy 0.1% of operating costs, that's ~\$15M/year from one client. A \$5M/year contract is trivially justifiable.

Commercial Real Estate — Investable Equations

Across 31 U.S. metros and 12 years of data, DCI discovered deterministic equations governing housing supply — including relationships like how mortgage rate changes **mathematically drive months of supply** with 35,974 feedback loops mapped.

Enterprise value: A CRE fund acting on causal equations before competitors front-runs rate-driven inventory shifts. Accurate through COVID, rate hikes, and normalization.

Retail — Hidden Revenue Drivers + 3-Day Early Warning

From 180 observations across 98 metrics, DCI discovered **30 cross-category revenue drivers no analyst had identified** and generated **3-day advance warning** on category demand shifts.

Enterprise value: For a \$1B retailer, 3 days of advance notice on demand shifts avoids millions in overstock losses and missed revenue per quarter.

Healthcare — Causal Biomarker Discovery

From 376 observations across 126 metrics, DCI discovered **603 causal equations and 991 feedback loops** governing patient outcomes — automatically finding biomarker relationships that explain *why* patients deteriorate, not just *that* they will.

Enterprise value: Medicare penalizes ~\$500M/year for readmissions. Knowing the causal mechanism enables targeted interventions — not broad guesses.

Every discovery above was a first-pass output. No domain expertise was coded in. The engine found it from data alone.

WHY NOW

Three Forces Converging Into One Opportunity

1. Regulation Demands Explainability

The **EU AI Act** enters full enforcement for high-risk AI in **August 2026**.

Black-box models will be **non-compliant by law** in healthcare, finance, and critical infrastructure.

DCI is inherently compliant — transparent, deterministic, human-readable.

EU AI Act, Chapter IV; Nature Medicine, 2025

2. Enterprise AI Is Failing

95% of enterprise AI pilots fail to deliver ROI. This is a methodology problem.

Statistical models overfit, hallucinate, and fail to generalize because they learn patterns rather than mechanisms.

Organizations need **verifiable, deterministic results**.

MIT/Forbes, August 2025

3. Science Demands Transparency

The scientific community is demanding transparent mathematical outputs over opaque models.

- Automated math discovery: **99% accuracy** on 200+ physics benchmarks
- Machine-discovered models match **nuclear physics** state-of-the-art
- New frameworks integrate domain expertise into discovery

Nature Computational Science, Nature Comms — 2025

Diginetics is the first company to integrate all three converging forces into a single, deployable platform.

BUSINESS MODEL

Enterprise Deployment. We Run It. They Use It.

Companies use and integrate our system — we maintain and operate it from our servers.

How We Sell

- **Enterprise-level sales** — direct engagement with executives
- Custom configuration per client: their data, KPIs, workflows
- Clients **subscribe to access** — they don't purchase the system
- Same engine, different config per org

How We Deploy

- **Weeks, not months** — config-driven, no custom code
- Integrates with existing data infrastructure
- API-first: results via dashboards, APIs, or embedded
- Palantir takes months. **We target weeks.**

How We Support

- **Server-backed, fully managed** — we run discovery cycles, updates
- Intelligence improves continuously as deeper equations are found
- **High retention, high switching cost** — DCI becomes infrastructure

Revenue Model

Annual enterprise subscriptions + per-domain configuration fees + ongoing support contracts. Land-and-expand: enter with one use case, grow into the full decision stack.

Comparable Playbook

Palantir (\$320B): enterprise integration + platform. Veeva (\$40B): vertical SaaS, deep workflow embedding. Snowflake (\$75B): usage-based data infrastructure. We combine deep integration, vertical specificity, recurring revenue.

COST STRUCTURE

\$0 to Discover. Real Costs Only at Deployment.

The DCI engine runs on standard hardware — no GPUs, no cloud AI clusters. Costs exist at enterprise deployment and support.

\$0

Cost to Run Tests & Get Results

Runs on a laptop. No GPU. No cloud AI. Discovery = 20-30 min per domain.

Where Costs Exist: Deployment & Support

Category	What It Covers
Server Infrastructure	Cloud hosting for client APIs & dashboards
Integration Engineering	Connecting DCI to client data pipelines
Client Success	Ongoing config, training, domain expansion
Discovery Cycles	Periodic re-runs as new client data arrives

Exceptional Margins

- **Zero GPU cost** — DCI is arithmetic, not matrix multiplication
- **Zero per-domain R&D** — new vertical = config file, not engineering
- **Zero retraining cost** — equations improve via discovery, not \$100M retraining runs
- Server costs scale **linearly** with clients, not exponentially

TARGET GROSS MARGIN

85%+

Palantir: 80% | Veeva: 85% | Snowflake: 73%

MARKET OPPORTUNITY

DCI Doesn't Enter a Market — It Creates One

Every organization that makes decisions with data that changes over time is a customer.

Addressable Vertical	2025	2030	CAGR
Cybersecurity AI	\$31B	\$86B	22.8%
Financial Services AI	\$38B	\$190B	30.6%
Healthcare AI	\$17B	\$50B	24.7%
Supply Chain AI	\$7.3B	\$64B	42.7%
Insurance Analytics	\$13B	\$28B	15.9%
Sports Analytics	\$2.3B	\$4.8B	15.7%
Retail Predictive AI	\$8.3B	\$20B	25.6%
Oil & Gas / Energy	\$4.5B	\$14B	25.5%

TAM BY 2030

\$55-93B

CAUSAL AI CAGR

38-42%

Fortune Business Insights, 2025

GARTNER 2025

Slope of Enlightenment

COMPETITIVE LANDSCAPE

Nobody Else Produces This Output

DCI produces intelligence no existing system can generate — deterministic, verifiable, human-readable causal equations.

Company	What They Do	What They Don't Do	DCI Advantage
Palantir (\$320B)	Data integration + LLM agents	Discover causation or explain why	Deterministic. Explains why.
Databricks / Snowflake	Data infrastructure + ML tooling	Measure causal relationships	Equations, not dashboards.
CausaLens	Statistical causal inference (DAGs)	Work without assumptions	Zero assumptions. Pure measurement.
Bloomberg (\$12B rev)	Financial data display	Explain why markets moved	Discovers governing equations.
Domain-Specific Vendors	Models tuned per industry	Work across domains	One engine, any domain, config-only.

Diginetics

Deploy: Days to weeks
Deterministic equations

New domain: Config file
Explainability: Intrinsic

Output:

Typical AI Vendor

Deploy: 6-18 months
Explainability: Post-hoc

New domain: Rebuild

Output: Probabilities

Incumbents are architecturally statistical. Switching to calculus-based measurement = rebuilding from scratch. 18-36 month head start.

DEFENSIBILITY

Three Moats. Compounding Over Time.

01**Technical Moat**

Proprietary mathematical methods rooted in calculus, not statistics. Copyright protected, patent in development. Competitors would need to rebuild from a different branch of mathematics entirely.

02**Workflow Moat**

Enterprise deployment = deep embedding in daily decisions. Once DCI powers critical decisions, switching is operationally prohibitive. Equations become the operating basis.

03**Compounding Discovery**

Every deployment generates structured data for the next discovery cycle. More clients = deeper equations = better intelligence = more clients. Cross-domain patterns that single-vertical vendors never see.

IP Protection

Copyright protected. Patent in development. Engine codebase, configuration schemas, and proprietary algorithms are trade secrets — never shared without licensing.

GO-TO-MARKET

Fast Proof → Regulated Expansion → Platform Scale

Phase 1: Beachheads — Year 1-2

- **Sports (MLB)** — Data-rich, fast sales cycles. 2-3 team pilots.
- **Oil & Gas** — Proven by Volve. High-value contracts.
- **CRE** — 31-MSA validation complete. Fastest to revenue.

Phase 2: Regulated — Year 2-4

- **Healthcare** — EU AI Act creates buyer urgency.
- **Financial Services** — Explainability = requirement.
- **Insurance** — Underwriting, claims, fraud.

Phase 3: Platform — Year 3-10+

- **Cybersecurity & Defense** — Government contracts.
- **Supply Chain** — Disruption forecasting.
- **Research Platform** — API ecosystem.

The Open Invitation

We will run DCI on a dataset of your choosing. No restrictions on domain. No special preparation. This signals zero fear of unknown domains — the most powerful proof point we can offer.

Sales Motion

Timeline	Action	Outcome
Mo. 0-3	Publish results, direct outreach	2-3 active pilots
Mo. 3-6	First paid deployments	First signed contracts
Mo. 6-12	Expand + adjacent vertical	5+ paying customers

TEAM

Founder-Led. Technical Depth Meets Business Execution.

Michael Lazzarotti**CEO & Co-Founder**

Designed and built the entire DCI platform. Led all 9 domain validations across sports, healthcare, real estate, retail, oil & gas, transportation, water, and human communication. Architecture, quantitative analysis, and product vision.

Evan O'Connell**CFO, COO & Co-Founder**

Leads business operations, financial strategy, and go-to-market execution. High-value vertical identification, commercial partnership development, and organizational scaling.

Hiring Plan

Phase	Timeline	Team Size	Key Hires
Seed	Now	2	Production engineers, deployment specialists
Post-Seed	Year 1	5-8	VP Sales, senior engineers, data scientist
Series A	Year 2	15-25	VP Engineering, domain specialists, client success
Series B	Year 3-4	35-60	Sales org scale, research team, international

THE ASK

Raising \$1M Seed at \$16M Pre-Money

\$1M

Seed Raise

\$16M

Pre-Money Valuation

~5.9%

Dilution

Valuation Logic

Like Palantir in 2005, our valuation isn't based on current ARR — it's based on the **strategic necessity of our technology** for national-scale entities like Oxy and other potential clients. The \$1M we are raising is the **credibility fuel** that moves us from a pilot to an enterprise system of record.

Monthly Operating Budget

Category	Monthly	Purpose
Salaries (5-6 people)	\$52,000	2 Founders + 2 Engineers + 1 SDR/AE + 1 CS/Support
Regus Tampa Office	\$1,800	Professional space for client demos & meetings
Travel & Entertainment	\$3,000	On-site client visits & industry networking
AWS & Security	\$7,500	High uptime & SOC2-compliant hosting
Legal & SaaS Tools	\$4,000	MSAs, DPAs, CRM & enterprise sales tools
Total Monthly Burn	~\$68,300	Runway: ~14.6 Months

Milestones This Capital Unlocks

Milestone	Timeline
Production-ready enterprise system	Month 3
First paying enterprise clients	Month 4-6
Patent filing	Q1-Q2 2026
5+ paying customers	Month 8-12
Series A readiness	Month 12-18

VALUATION CONTEXT

\$16M Pre-Money Is a Strategic Bet, Not an ARR Multiple.

Category-creating companies are valued on trajectory and strategic necessity, not current revenue.

Company	Seed Valuation	What They Had	What They Became
Palantir (2005)	~\$8M pre-money	No product. No customers. Thesis + team.	\$320B market cap
Snowflake (2012)	~\$8M pre-money	Concept only. Zero revenue.	\$75B market cap
Databricks (2013)	~\$14M pre-money	Research project. No enterprise product.	\$43B valuation
Diginetics (2026)	\$16M pre-money	Working engine. 9 domains. 2,300+ equations. Copyright + patent pending.	Building the causal intelligence standard

What \$16M Reflects

- A **working, validated system** — not a concept deck
- 9 independent domain validations from a single codebase
- Technology that peer-reviewed research says the industry needs
- Enterprise clients where a single deployment justifies the valuation

Why This Is Conservative

- Palantir raised at \$8M with **no product and no customers**
- We have a working engine, 9 validated domains, copyright protection, and patent in development
- If DCI saves Oxy 0.1% of operating costs = **~\$15M/yr from one client**
- \$16M is a fraction of the value a single deployment creates

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The Age of Guessing With Confidence Is Over.

The first technology that measures cause and effect — not correlations. One engine. Any domain. Deployed in days.
Supported from our servers. Every output is a verifiable mathematical equation.

\$1M

Seed raise

\$16M

Pre-money valuation

9

Domains validated

\$55-93B

TAM by 2030

We are happy to run DCI on a dataset of your choosing.

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